Kevin Lewis, a successful card counter portrayed in the book *Bringing Down the House*, wrote more about this philosophy:

> Although card counting is statistically proven to work, it does not guarantee you will win every hand—let alone every trip you make to the casino. We must make sure that we have enough money to withstand any swings of bad luck.
>
> Let's assume you have roughly a 2 percent edge over the casino. That still means the casino will win 49 percent of the time. Therefore, you need to have enough money to withstand any variant swings against you. A rule of thumb is that you should have at least a hundred basic units. Assuming you start with ten thousand dollars, you could comfortably play a hundred-dollar unit.

History is littered with good ideas taken too far, which are indistinguishable from bad ideas. The wisdom in having room for error is acknowledging that uncertainty, randomness, and chance—"unknowns"—are an ever-present part of life. The only way to deal with them is by increasing the gap between what you think will happen and what *can* happen while still leaving you capable of fighting another day.

Benjamin Graham is known for his concept of margin of safety. He wrote about it extensively and in mathematical detail. But my favorite summary of the theory came when he mentioned in an interview that "the purpose of the margin of safety is to render the forecast unnecessary."

It's hard to overstate how much power lies in that simple statement.

Margin of safety—you can also call it room for error or redundancy—is the only effective way to safely navigate a world that is governed by odds, not certainties. And almost everything related to money exists in that kind of world.

Forecasting with precision is hard. This is obvious to the card counter, because no one could possibly know where a particular card lies in a shuffled deck. It's less obvious to someone asking, "What will the average annual return of the stock market be over the next 10 years?" or "On what date will I be able to retire?" But they are fundamentally the same. The best we can do is think about odds.